

25PSCV01568 25PSCV01568

County: los-angeles

Division: Civil Law and Motion

Department: O

Hearing date: 2026-06-25

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=EA%20%2CO%2C06%2F25%2F2026

Source SHA-256: 82ae6855d5a7a70ae614ab7de47c3381f7d76113a9b9e4028d64259a4b2f46de

Case Number: 25PSCV01568 Hearing Date: June 25, 2026 Dept: O

Tentative Ruling

(1)

DEMURRER

OF DEFENDANTS TO PLAINTIFFS SECOND AMENDED COMPLAINT is MOOT.

(2)

DEFENDANT'S

MOTION TO COMPEL

ARBITRATION is GRANTED. The court requests Defendants file a proposed order.

Background

This case arises from alleged hazards (e.g., unauthorized entries, debris) in the commercial property Plaintiffs were leasing.

On May 1, 2025, Plaintiffs ROGELIO MAGANA CASTILLO, an individual; and CRUXANAVI, LLC filed suit.

On July 8, 2025, Plaintiffs filed a first amended complaint (FAC).

On December 12, 2025, the court sustained the demurrer to the FAC on the grounds that Cruxanavi LLC was a suspended corporation.

On January 26, 2026, a second amended complaint (SAC) was filed against Bruce Lin, Catherine Bing, and Waldin Gonzalez for:

1. Breach of Contract
 2. Fraud (Intentional Misrepresentation)
 3. Fraudulent Concealment
 4. Constructive Eviction
 5. Intentional Infliction of Emotional Distress
 6. Negligent Infliction of Emotional Distress
 7. Civil Conspiracy
 8. Abuse of Process
 9. Violation of the Bane Act (Civil Code
- 52.1)

On March 2, 2026, the instant demurrer was filed. That same day, about an hour later, an opposition was filed by Plaintiffs.

On March 25, 2026, a reply was filed.

On March 26, 2026, the instant motion to compel arbitration was filed.

On March 11, 2026, an opposition to the motion to compel arbitration was filed.

To date, as of Monday, June 22, 2026, no reply to the arbitration motion has been filed (due 5 court days before the hearing i.e., Wed., June 17, 2026).

Discussion

Defendants file the instant demurrer and motion to compel arbitration. For reasons to be discussed below, as the court grants the motion

to compel arbitration, the demurrer is moot.

As set forth in the motion, the executed Commercial Lease Agreement between Bruce Y Lin, and Cruxanavi, LLC executed on June 19, 2022 contains an arbitration provision at paragraph 36. Indeed, the court's review of paragraph 36 provides that in the event "any dispute or claim" arising "between [the parties]" is not resolved in mediation, the claim "shall be decided by neutral, binding arbitration...." Subsection (b) of the paragraph contains certain exclusions from mediation and arbitration such a foreclosure action or a UD action.

Plaintiffs advance numerous arguments as to why arbitration cannot be enforced. None are persuasive.

First, Plaintiff argues that mediation is a condition precedent and since mediation has not occurred, neither can arbitration. But it appears Plaintiff's counsel has refused to mediate. As set forth in the exhibits attached to the motion, Defense Counsel Hemming sent Plaintiff's Counsel a letter demanding mediation on November 5, 2025 and another one on December 1, 2025. As set forth in an exhibit attached to Plaintiffs' opposition, Plaintiffs' counsel responded on December 11, 2025 stating that "Given the current procedural posture and pending matters before the Court, I do not agree to mediation or any off-record resolution at this time. Any issues between the parties should proceed, if at all, through proper court proceedings." Thus, if Plaintiffs are seemingly refusing to adhere to the condition precedent, it is unclear how Defendants should be faulted.

Second, Plaintiffs argue that Defendants waived the right to arbitration by filing a UD action. The relevancy of that argument is unclear as the UD action is separate from the civil action. To the extent Plaintiffs cite to *St. Agnes Medical Center v. PacificCare of California* (2003) 31 Cal.4th 1187 (St. Agnes), but that would support arbitration. There the state's supreme court held that the defendant's filing of a separate lawsuit that purported to repudiate the health services contract did not amount to waiver of the defendant's contractual right to arbitration. (*Id.* at p. 1192.)^[1]

Third, Plaintiffs argue that Defendants' "post-dismissal conduct—including direct pressure on a non-party—confirms conduct inconsistent with any genuine intent to arbitrate." Absent an analysis, the relevancy of

that argument is unclear.

Fourth, Plaintiffs argue the lease excludes UD actions; but this is not a UD action, but a civil action.

Fifth, Plaintiffs largely argue that Defendants have waived their right to arbitration. For one, Plaintiffs fail to analyze the framework for determining waiver. Second, waiver does not occur unless there is some impairment of complaining party's ability to participate in arbitration. (*Groom v. Health Net* (2000) 82 C.A.4th 1189, 1198.) Plaintiffs cite to no case that holds that the mere involvement in demurrers (especially the first which was required to revive the entity) constitutes the prejudice that bars a petition to compel arbitration.

Sixth, Plaintiffs cite to *Guess?, Inc. v. Superior Court* (2000) 79 Cal.App.4th 553, 558 to support their claim that Defendants cannot “fallback” on arbitration “after litigation strategy fails.” But the facts in that case are distinguishable. For one, the appellate court there largely focused on the defendant's general denial failing to assert the right to arbitration. Second, discovery was commenced and Kirkland, despite objecting on a variety of grounds, did not assert the right to arbitration. (See e.g., *id.* at p. 558 [“Kirkland sent two sets of lawyers to the third-party depositions and took full advantage of every opportunity to cross-examine the deponents but did not suggest that depositions were inappropriate because this dispute had to be arbitrated. For four months, Kirkland remained mute on the subject of arbitration...”].) Third, through its use of the discovery process, the plaintiff disclosed some of its trial tactics to Kirkland such that it was prejudiced. (*Ibid.*) None of those factors are present here.

Based on the foregoing, as Defendants have not engaged in conduct inconsistent with arbitration, as Plaintiffs have not analyzed waiver of the right to arbitration (by way of a conclusory opposition), and Defendants cannot satisfy their contractual prerequisite of mediation because Plaintiffs refuse to, the court grants the motion and stays the entire action.

Conclusion

Based on the foregoing, the motion to compel arbitration is granted.

[1] St. Agnes Medical Center has been largely overruled by the court in Quach v. California Commerce Club, Inc. (2024) 16 Cal.4th 562, 582 fn. 4 ["To the extent they are inconsistent with our analysis, we overrule [St. Agnes] or disapprove opinions cited in St. Agnes or relying upon our decision in that case."].)